FRAMING SUBCONTRACT

FOR SIGNATURE | Revision 3 - October 5, 2026 | UNSIGNED

Rodriguez Residence - Oak Valley Estates Lot 5
746 S Liberty Lane, Kanarraville, Utah 84742

General Contractor: RAC Inc., Craig Engel
Subcontractor: Lopez Construction Company, Fidencio Lopez
724 W 1300 S, Hurricane, UT 84737 | (435) 229-8167
fidencio.lopezconstruction@gmail.com

RAC Inc. and Lopez Construction Company agree to the following framing subcontract upon signing. The negotiated contract sum is **$78,000.00**.

1. Work and contract documents

Subcontractor shall complete the framing for the areas listed below in accordance with the approved project plans furnished by General Contractor and estimate 412 dated September 25, 2026, attached as Exhibit A (page 3). The scope includes the labor, nails, and machines required to finish that framing work. Changes to scope, price, or time require a written change order under Section 5.

Framing area	Area in estimate	Original estimate
Main Floor	2,206 sq ft	$19,881.00
Garage	1,766 sq ft	$14,128.00
ADU	919 sq ft	$7,352.00
Upper Floor	1,278 sq ft	$10,224.00
Office	409 sq ft	$3,272.00
Balcony (first listed)	1,979 sq ft	$9,895.00
Balcony (second listed)	3,329 sq ft	$16,645.00
Original estimate total		$81,397.00
Negotiated reduction		-$3,397.00
Contract sum		**$78,000.00**

Both balcony areas listed in Exhibit A are included. Quantities and original line amounts identify the estimated work; they are not separate payment entitlements or agreed unit prices.

2. Included labor, nails, and machines

Subcontractor shall furnish all labor, nails, and machines required to complete the framing work described in this agreement, including necessary supervision and machine operation. General Contractor shall furnish framing materials other than nails. Subcontractor shall coordinate material needs and deliveries with General Contractor and report plan or field discrepancies before proceeding with affected work.

Controlling price: $78,000.00 (Seventy-Eight Thousand Dollars), subject to mutually signed change orders. This negotiated price supersedes the $81,397 total in Exhibit A. Original line amounts are retained for reference only; the $3,397 reduction is not allocated among areas.

TERMS & SIGNATURES

3. Biweekly progress payments

General Contractor shall make progress payments every two weeks for work completed and approved during the billing period. Subcontractor shall submit invoices to Craig Engel at racinc19@gmail.com showing the framing work completed, percentage complete, prior payments, approved changes, and the current amount due. Cumulative progress payments shall reflect the approved percentage of the $78,000 contract sum, plus approved changes and less prior payments. The remaining balance is payable upon completion and acceptance of the work, including correction of identified deficiencies.

4. Schedule and performance

Start date: October 6, 2026. **Completion:** As needed, coordinated with General Contractor and the project schedule. Subcontractor shall coordinate with other trades, promptly give written notice of delays, provide competent supervision, maintain safe operations and daily cleanup, and perform the agreed scope in accordance with the approved plans and applicable codes. Subcontractor shall correct its nonconforming work and participate in required framing inspections.

5. Changes

Before additional or changed work begins, both parties must approve a written change order stating the scope, price adjustment, and time adjustment. This implements the estimate's requirement for advance approval of pricing changes and additional work. Notify the General Contractor of discrepancies before proceeding with affected work.

6. Licensing and insurance

The subcontracting entity is **Lopez Construction Company**, the insured named on the certificate furnished to General Contractor. Subcontractor shall maintain a current Utah contractor license appropriate to the work and provide verification before mobilization. Subcontractor shall maintain commercial general liability insurance of at least **$1,000,000 per occurrence** and provide evidence of workers' compensation coverage or a lawful exemption as applicable. The supplied certificate lists State National Insurance Company, Inc., policy NXT4HK4XLQ-01-BP, January 23, 2026 through January 23, 2027, with $1,000,000 per occurrence and $2,000,000 general aggregate. Subcontractor shall maintain required coverage throughout the work and notify General Contractor promptly of cancellation or material coverage changes.

7. One-year warranty, termination, and disputes

Subcontractor warrants its workmanship for **one year from completion and acceptance of its framing work** and shall correct defects in that workmanship at its expense upon written notice. This warranty does not reduce rights available under applicable law. Either party may give written notice of material breach and allow seven calendar days to cure before termination, subject to applicable law. Amounts due for satisfactorily completed work and documented claims shall be reconciled. Parties shall first attempt good-faith resolution of disputes; unresolved disputes may be brought in a court of competent jurisdiction in Utah. Utah law governs.

8. Agreement and signatures

This agreement consists of this subcontract, Exhibit A, the approved project plans furnished by General Contractor for the stated framing scope, and mutually signed change orders. This subcontract controls over conflicting estimate terms, including the original $81,397 price. The agreement takes effect when signed by both parties. Changes require both parties' written agreement. Subcontractor is an independent contractor. Each signer represents that he is authorized to bind the named party.

RAC Inc. - General Contractor	Lopez Construction Company - Subcontractor
Signature: _____	Signature: _____
Name: Craig Engel	Name: Fidencio Lopez
Title: Authorized Representative	Title: Authorized Representative
Date: _____	Date: _____

Exhibit A follows: original estimate 412, September 25, 2026. Its $81,397 total is superseded by the $78,000 contract sum in this agreement.

9/25/2026

Estimate

#412

Lopez Construction Company

fidencio.lopezconstruction@gmail.com
Po Box 1188
Littlefield AZ 86432
435-229-8167

Billing address

Mr. & Mrs. Rodriguez
Oak Valley Estates #5
Kanarraville UT 84742

Item	Description	Rate	Qty	Amount
Framing				
	Main Floor	2206 sqft		$19,881
	Garage	1766 sqft		$14,128
	ADU	919 sqft		$7,352
	Upper Floor	1278 sqft		$10,224
	Office	409 sqft		$3,272
	Balcony	1979 sqft		$9,895
	Balcony	3329 sqft		$16,645
Total				**$81,397**

This estimate is not a contract or an invoice. It represents our best estimate of the total cost to complete the work described above, based on our initial inspection. If any pricing changes or additional parts or labor are required, we will notify you and obtain your approval before proceeding with any additional work.

To schedule a time for us to complete the work or if you have any questions, please contact:

Fidencio Lopez
(435) 229-8167
Fidencio.LopezConstruction@gmail.com

Thanks for your business!